

Ontario Superior Court of Justice

Citation: Scott v. Optimum Frontier Insurance Co.

Date: 2006-02-23

Heard: 2005-08-15

Docket: 05-CV-2891 56PD2

Stewart J.

Counsel:

David Murray for Applicants

Eleni Maroudas for Respondent

The judgment of the court was delivered by Stewart J.

Nature of the Application

[1] This is an Application for an order declaring that the Respondent Optimum Frontier Insurance ("Optimum") has a duty to defend the allegations of malicious prosecution, libel, injurious falsehood and the "slip and fall" claims in Action No. 2570/99 brought in the Superior Court of Justice against the Applicants. The Applicants also claim the right to retain and instruct counsel of their choice in the defence of the action and seek an order that Optimum is required to pay the entire costs of defending the action.

Background Facts

[2] Optimum, by its predecessor National Frontier Insurance Company, issued a policy of insurance (the "Policy") to the Applicants John Pander and 564105 Ontario Limited operating as Holiday Pines Park. The Policy was in full force and effect at all material times and provided Commercial General Liability coverage for the named insureds and for all executives, officers, directors and employees of 564105 Ontario Limited. The Policy requires Optimum to defend any claims falling within the coverage available under the Policy.

[3] On September 19, 1999 Cody McMahon, John O. McMahon and John Hiram Bettes, as Plaintiffs, commenced the above-noted action against Wayne J. Scott, Brenda Pander-Scott, Aileen Pander, John Pander and 564105 Ontario Limited, as Defendants. All of the Defendants in the action are either named or unnamed insureds under the Policy. Among other claims, the Plaintiffs claim damages for alleged malicious prosecution, libel, injurious falsehoods and two occurrences of "slip and falls", all of which are said to have been committed or caused by the Applicants in their roles as officers or employees of 564105 Ontario Limited, and for which they are said to be liable.

[4] As can be determined from the Statement of Claim, the claims made against the Applicants arise out of a series of incidents and events that are part of a long-running dispute between the parties arising out of the usage by the Plaintiffs in the action and the other local cottagers of a right-of-way over land owned by the Corporate Applicant on which it operates

business as a trailer park under the name Holiday Pines Park.

[5] The Statement of Claim alleges that on December 9, 1997 the Applicant Scott instigated charges of assault against Cody McMahon and John O. McMahon; that on August 9, 1999 the Applicants were involved in a confrontation which resulted in the Applicant Scott, as part of an alleged conspiracy or acting as an executive officer of the corporate Applicant, instigated false charges against Bettes; that the Applicants maliciously prosecuted the Plaintiffs; that each of the Applicants committed the tort of injurious falsehood; that the Applicant John Pander committed a libel of John Hiram Bettes; that the Applicant Brenda Scott-Pander, acting in furtherance of the alleged conspiracy or as an officer and director of the corporate Defendant, uttered a false and defamatory letter defaming the Plaintiffs; that the Applicant John Pander uttered a false and defamatory document on August 4, 1998 defaming John Bettes; and that John O. McMahon sustained injuries as a result of having slipped and fallen on two occasions on the property owned by the corporate Applicant and for which damages are claimed from the Applicants.

[6] The Statement of Claim was submitted to Optimum on or about April 10, 2000 for defence. Optimum has denied any obligation to defend any of the allegations in the Statement of Claim, including the claims of personal injury resulting from malicious prosecution, libel and injurious falsehood and bodily injury resulting from the alleged "slip and fall" incidents, and has refused to take over carriage of or contribute to the cost of its defence. Although Optimum asserts this amounts to late notice and a breach of the Policy, there is no specific evidence before me of any actual prejudice having been suffered as a result of the delay of approximately eight months between the issuance of the Statement of Claim and its submission to Optimum. In the circumstances, I do not view this as a breach by the Applicants of their reporting requirements under the Policy.

[7] As a result of the position taken by Optimum, the Applicants have been obliged to defend the action without assistance from their insurer. A Statement of Defence was delivered in the action on November 1, 1999, which denied the allegations and stated that all statements made and actions taken by the Applicants which are the subject of complaint were made or taken in good faith and with honest belief in the truth thereof.

[8] Although the trial of the action was heard in October 2005 by a judge with a jury and a verdict rendered at that time, it is common ground that such fact has no bearing to the determination of this particular issue. This Application engages only the insurer's duty to defend, an issue which the parties agree is to be determined on a review of the Statement of Claim and an analysis of the allegations made therein in light of the terms of the Policy and the nature and extent of insurance coverage provided by Optimum. Although the fact that this Application was brought much later in the proceedings that might be considered more usual in these kinds of circumstances, in my view this delay does not operate as a bar to the Applicants' entitlement to enforce what they consider to be their contractual rights under the Policy.

[9] Although the Applicants concede that some of the claims asserted in the Statement of Claim, (including the claims for declaratory relief regarding the prescriptive right-of-way which have been severed from other allegations by an Order dated September 1, 2004, assault and

conspiracy to injure) do not in and of themselves give rise to a duty to defend under the Policy, they maintain that all of the factual allegations in the Statement of Claim are so interrelated and closely connected that it is impossible to identify any part of the defence effort as being related solely to any particular allegation. They therefore argue that Optimum is required to provide the Applicants with a defence of the entire action.

The Policy

[10] As noted, the Policy provides coverage for the executives, officers, directors and employees of the corporate Applicant. The Policy also contains an obligation on the part of the insurer to defend any action falling within coverage.

[11] Among the kinds of coverage provided for in the Policy are indemnity for compensatory damages for bodily injury and personal injury. Personal injury is specifically defined to mean injury (other than bodily injury) arising out of one or more of certain enumerated offences which include malicious prosecution, wrongful entry into or eviction of a person from a room, dwelling or premise that the person occupies, and oral or written publication of material that slanders or libels a person or organization.

[12] Several exclusions from coverage are provided for in the Policy, including an exclusion for personal injury "arising out of oral or written publication of material, if done by you or at the direction of the Insured with knowledge of its falsity".

Issue

[13] Does Optimum have a duty to defend the allegations of malicious prosecution, libel, injurious falsehoods and individual "slip and fall" occurrences alleged in the Statement of Claim?

Discussion and Law

[14] In considering this issue, and to the extent its determination requires reference to the Policy's terms, I am informed by the general principle that insurance policies are to be interpreted in such a way that provisions granting coverage are to be construed broadly while exclusions are to be interpreted narrowly. The plain language of a policy that should be given effect and the policy should be interpreted in such a manner as to arrive at a commercially reasonable result (see: *Consolidated Bathurst Export Ltd. v. Mutual Boiler & Machinery Insurance Co.* (1979), [1980] 1 S.C.R. 888 (S.C.C.); *Reid Crowther & Partners Ltd. v. Simcoe & Erie General Insurance Co.*, [1993] 1 S.C.R. 252 (S.C.C.)).

[15] Optimum takes the position that it has no duty to defend because it is clear that there is no coverage under the Policy for the claims made against the Applicant. In particular, Optimum relies on the specific exclusion from coverage of personal injury "arising out of oral or written publication of material, if done by you or at the direction of the Insured with knowledge of its falsity". It also argues that the "fortuity principle" and public policy considerations operate so as to reinforce their assertion that the Policy does not provide coverage for those kinds of

claims.

[16] Optimum further argues that the allegations are not within the ambit of coverage since the persons insured are covered only with respect to the conduct of the insured business and, in the context of the individual named insured, only "with respect to their duties as...officers or directors" and "with respect to their liability as stockholders". Optimum asserts that the allegations in the underlying action do not arise from the conduct of the business nor is the conduct within the scope of employment.

[17] In support of its position, Optimum relies on those parts of the Statement of Claim which contain assertions that statements and actions complained of by certain of the Plaintiffs were made and done by the Applicants with the knowledge that they were fabricated and false and in order to cause harm to the Plaintiffs.

[18] It is a well-established principle of law that the duty to defend is independent of and broader than the duty to indemnify. The duty to defend arises where the Statement of Claim contains allegations of acts or omissions which potentially fall within the policy coverage, while the duty to indemnify only arises where such obligations are proven at trial. Since the duty to defend is governed by the allegations in the Statement of Claim, they are to be read with the widest latitude. What matters is not the labels crafted by plaintiffs' counsel for inclusion in the Statement of Claim but the "true nature and substance" of the claim. It is necessary to prove that the obligation to indemnify will, in fact, arise in order to trigger the duty to defend. The mere possibility that a claim within the Policy will succeed is enough to impose a duty to defend upon the insurer: (see *Nichols v. American Home Assurance Co.* (1990), 68 D.L.R. (4th) 321 (S.C.C.); *Jon Pickers Ltd. v. Guardian Insurance Co. of Canada* (1993), 17 C.C.L.I. (2d) 167 (Ont. C.A.); *Royal & SunAlliance Insurance Co. of Canada v. Fiberglas Canada Inc.*, [1999] O.J. No. 1275 (Ont. Gen. Div.)).

[19] The duty to defend, although broader than the duty to indemnify, is not so broad that it arises with respect to allegations which are clearly beyond the scope of the policy by reason of an exclusion clause or otherwise. Hence, if there is no duty to indemnify because an exclusion applies, there is no duty to defend: see *Nichols v. American Home Assurance Co.*, *supra*; *Sansalone v. Wawanessa Mutual Insurance Co.*, [2000] 1 S.C.R. 551 (S.C.C.) [hereinafter *Scalera*] at pp. 581-583; and *Monenco Ltd. v. Commonwealth Insurance Co.*, [2001] 2 S.C.R. 699 (S.C.C.), at pp. 713-717.

[20] The approach to be taken to the analysis of the question as to whether or not the duty to defend arises in a particular case has been set out by the Supreme Court in its decision in *Scalera*, *supra*, (at paras. 50-52 per Iacobucci, J.):

Determining whether or not a given claim could trigger indemnity is a three-step process. First, a court should determine which of the plaintiff's legal allegations are properly pleaded. In doing so, courts are not bound by the legal labels chosen by the plaintiff. A plaintiff cannot change an intentional tort into a negligent one simply by choice of words, or vice versa. Therefore, when ascertaining the scope of the duty to defend, a court must look beyond the choice of labels, and examine the substance of the allegations contained in the pleadings. This does not involve deciding whether the claims have any merit; all a

court must do is decide, based on the pleadings, the true nature of the claims.

At the second stage, having determined what claims are properly pleaded, the court should determine if any claims are entirely derivative in nature. The duty to defend will not be triggered simply because a claim can be cast in terms of both negligence and intentional tort. If the alleged negligence is based on the same harm as the intentional tort, it will not allow the insured to avoid the exclusion clause for intentionally caused injuries.

Finally, at the third stage the court must decide whether any of the properly pleaded, non-derivative claims could potentially trigger the insurer's duty to defend.

[21] When the Statement of Claim is read "with the widest latitude", as the authorities require, and with a view to determining the "substance of the allegations" contained in this rather sprawling buckshot-type pleading, I consider that it is possible to discern several claims which potentially fall within the Policy coverage.

[22] In particular, the allegations of malicious prosecution contained in paragraph 23 of the Statement of Claim refers to the lack of "reasonable and probable cause" for the instigation or institution of criminal proceedings by the Applicant. This allegation is made against all of the Applicants, not only against Wayne Scott and John Pander, the two Applicants referred to in those portions of the Statement of Claim, describe the "set ups" to which reference is made in paragraph 23. As I read that paragraph, it is capable of including a claim of malicious prosecution based the elements of the cause of action that involve the instigation of proceedings without reasonable and probable cause and not just a claim made as the result of the conscious making of an intentionally false statement.

[23] Paragraph 25 of the Statement of Claim alleges that each Applicant supplied false statements to the police and to the Crown Attorney's office. No specific mention is made in this claim of any knowledge by the Applicants that the statements were false. Although certain other portions of the pleadings might suggest that the Plaintiffs would assert that to be the case, the way paragraph 25 is drawn is also capable of embracing the making of a statement that proves to be false even though the maker of the statement may believe it to be true at the time it is made. When viewed in that light, I consider that the claim made is one which is potentially within coverage.

[24] Similarly, the allegations of libel contained in paragraphs 26, 27 and 28, although perhaps awkwardly drawn, are sufficiently broad to include a claim that the false and defamatory statements attributed to the Applicants could be believed by the Applicants, or some of them, to be true. Those paragraphs do not specifically and unequivocally assert that the statements or written communications attributed to the Applicants therein were specifically known by all of the Applicants to be false.

[25] I therefore cannot conclude that it is so clear that the claims referred to above are excluded by the provisions of the Policy such that no duty to defend arises. In my view, they are all at least potentially covered.

[26] The claim for damages for bodily injury alluded to in paragraph 30 of the Statement of Claim is referable to certain "slips and falls" alleged to have occurred on presumably uncleared snow and ice on a deeded right-of-way on the corporate Applicant's property. Although these falls are alleged to have occurred as a consequence of the Applicant's refusal to permit the Plaintiffs to travel over the prescriptive right-of-way, I view these claims as being likewise potentially covered by the Policy and not solely and inarguably derivative of any intentionally wrongful conduct on by the Applicants.

[27] Optimum also argues that the "fortuity principle", the general principle of insurance law that arises from the very nature and purpose of insurance that ordinarily only fortuitous or contingent losses are covered by a liability policy, operates to make it clear that no coverage is available under the Policy for these claims. I do not agree that the nature of the claims and the language of the Policy are so clear as to require that conclusion to be drawn. As noted by the Court of Appeal for Ontario in *Liberty Mutual Insurance Co. v. Hollinger Inc.*, [2004] O.J. No. 481 (Ont. C.A.) (at para. 15), a claim for malicious prosecution is an intentional tort and ordinarily requires a high level of intentional conduct. Further (at para. 18), the Court of Appeal stated that the fortuity principle does not necessarily exclude coverage for all claims that arise from intentional acts. For instance, an intentional act may have unintended consequences. If the unintended consequence falls within the terms of the a policy of insurance, it will be covered even if it was caused by the intentional act of the insured. In my view, the subject of the claims asserted in the action against the Applicants potentially fall within that description which resultantly entitles them to a defence from Optimum.

[28] In my opinion, public policy considerations do not require the drawing of any different conclusion in these particular circumstances.

[29] Finally, the subject allegations as framed in the Statement of Claim arise out of steps allegedly taken by the Applicants with respect to asserting the right of the corporate Applicant over the disputed part of the property on which the Holiday Pines Park operates and in furtherance of the interests of the corporate Applicant and its resident tenants. In what appears to be the rather unusual factual backdrop to the dispute, I consider that the claims engage the duties of the insured persons as officers, executives and employees of the corporate Applicant such that they are potentially covered by the Policy.

[30] As a result, I am of the view that Optimum owes a duty to the Applicants to defend the claims of malicious prosecution, injurious falsehood, libel and claims of "slip and fall" that have been made in the action against the Applicants.

[31] With respect to the issue of the possible apportionment of defence costs which has been raised, it has been noted that the claims of conspiracy to injure, nuisance and assault are conceded by the Applicants to fall outside the coverage afforded by the Policy. Although there is some degree of intertwining of the claims and the underlying facts, I nevertheless view this as an appropriate case for an apportionment of defence costs (see: *Sommerfield v. Lombard Insurance Group* (2005), 20 C.C.L.I. (4th) 301 (Ont. S.C.J.)).

[32] In the circumstances of this case, I conclude that Optimum should bear 50% of those reasonable costs of the defence of the action incurred by the Applicants since April 10, 2000,

subject to such entitlement as the Applicants or Optimum may have in law to recover all or an appropriate portion of their costs of defence from the other as a result of the ultimate disposition of the underlying action.

Conclusion

[33] As a result of the above, the Applicants are entitled to a declaration that Optimum owes a duty to defend the claims of malicious prosecution, injurious falsehood, libel and "slip and fall" claims in the action brought against them. In view of the fact that the action now has been determined at trial, the request by the Applicants to retain and instruct independent counsel for this purpose seems moot, since this has already been done of necessity as a result of Optimum's refusal to provide them with a defence. The costs incurred by the Applicants in doing so are to be apportioned in accordance with the formula articulated in paragraph 32 herein and reimbursed by Optimum, subject to any entitlement to re-apportionment the parties may have in light of the outcome of the trial. If the parties require any further direction or order to implement this decision, an appointment before me may be arranged for that purpose.

Costs

[34] If the parties are unable to agree as to costs of this Application, written submissions may be delivered to me by the Applicants within 20 days of the date of release of this decision and by the Respondent within 10 days thereafter.

[35] Application granted in part.